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Netflix's Subscriber Growth Slows at Home and Abroad

Still, the streaming provider's profit grew, helped by lower costs for content

By Shalini Ramachandran and Bowdeya Tweh
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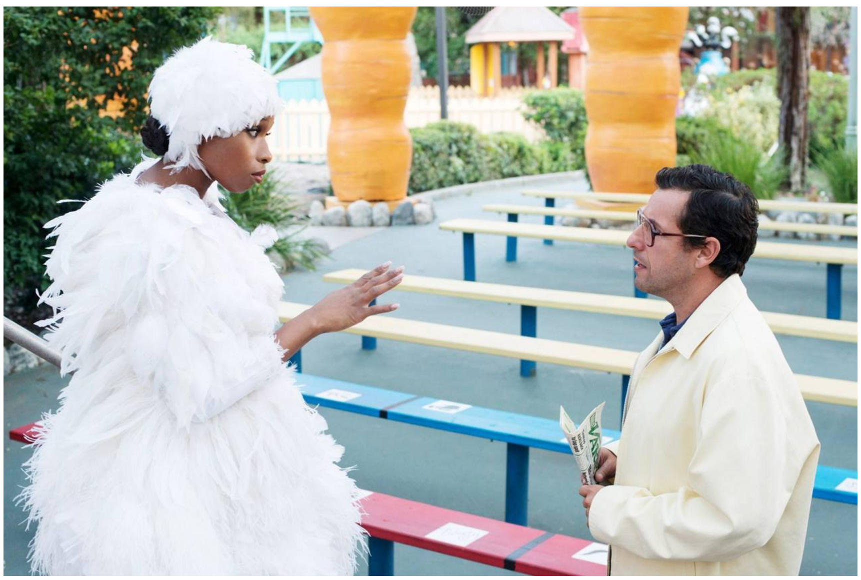

Jennifer Hudson and Adam Sandler in a scene from the Netflix original movie 'Sandy Wexler.' NETFLIX /COURTESY EVERETT COLLECTION

Netflix Inc.'s NFLX **2.35%** ▲ U.S. and international subscriber growth slowed in the first quarter, coming in below expectations, though profit grew as content costs were lower than anticipated.

The Los Gatos, Calif., company reported 98.75 million total subscribers, up from 81.5 million a year ago. Analysts polled by Thomson Reuters expected 98.9 million subscribers overall. Netflix said in a shareholder letter that it is on track to surpass

100 million subscribers this week.

The company added 3.53 million international subscribers in the quarter, missing its guidance of 3.7 million. In the year-ago quarter, it added 4.51 million international customers.

Its U.S. subscriber growth slowed, as it added 1.42 million customers, missing its target of 1.5 million. It added 2.23 million U.S. customers in the prior-year period.

Netflix ended the first quarter with 50.85 million U.S. customers and 47.9 million international customers.

The streaming-video company has been aggressively pursuing international expansion as its core U.S. market matures. Following a battery of launches a year ago, Netflix says it now serves customers in more than 190 countries. The company had signaled to Wall Street that it would be tough to sustain the subscriber additions that came with launches in new markets a year ago.

On a video interview with analysts, Netflix Chief Executive Reed Hastings said in subscriber additions, "every 10 million is a little harder than the last 10 million, but our content keeps getting better so those forces offset each other." He said he thinks Netflix still has runway left to grow in the U.S. and abroad, and missing guidance one quarter is "nothing that is very concerning to us."

Forecasting subscriber growth is tricky, especially given the uncertainty of how people will respond to unproven new shows, Netflix executives said. "We've got the formula" in Latin America, Europe and North America, Mr. Hastings said. "Asia, Middle East and Africa, we still have a bunch of work to do."

In a letter to shareholders, Netflix said subscriber growth is no longer the best way to measure the company's progress, and encouraged investors to focus on revenue growth and global operating margins as its primary metrics.

Netflix's first-quarter profit was $178.2 million, or 40 cents a share. In the comparable 2016 period, the company reported a profit of $27.7 million, or 6 cents a share. Revenue rose 35% to $2.64 billion.

Analysts surveyed by Thomson Reuters had projected earnings of 37 cents a share on $2.64 billion in revenue.

Netflix said that profit will be down in the second quarter because of higher content costs including the debut of the fifth season of "House of Cards" and more original movies. It expects to report a second-quarter profit of $66 million, or 15 cents a share.

Through Monday, Netflix shares are up 19% this year, ending the day at $147.25. Shares rose 1.2% in after-hours trading Monday. They reached a record on March 30, closing just above $148.

Netflix's model rests on signing up new subscribers rapidly enough to offset its mushrooming content costs as it invests increasingly in local original shows that could have global appeal. Streaming content obligations, a measure of its total current and future programming expenses, stood at $15.3 billion at the end of March.

As it has ramped up spending in a variety of genres including reality TV and comedy, Netflix said early results for comedy specials are promising, with "Dave Chappelle: Collection 1" marking its "most viewed comedy special ever."

In a rare admission, Netflix said its original movie "Crouching Tiger, Hidden Dragon: Sword of Destiny" didn't perform up to its expectations. It said its slate of original Adam Sandler movies and the historical drama "Siege of Jadotville" were successful relative to their cost.

Wall Street has come to expect slowing U.S. customer growth for Netflix and has pinned hopes for the stock on the company having outsize success internationally. "We expect U.S. subscriber growth to be in single digits going forward, reaching the lower half of management's 60 to 90 million subscriber target," wrote Cantor

Fitzgerald analysts in a research note last week. "However, international growth seems substantially higher."

Netflix is facing ever more competitors in the race to attract viewers and their dollars. In the U.S., companies like Hulu and Alphabet Inc.'s YouTube are going more aggressively into the business of streaming high-quality television content, with live television subscription services debuting this year. Internationally, it has to contend with dozens of local streaming rivals that are attracting funding from well-heeled competitors, like Southeast Asia's iflix, backed by European pay-TV giants Sky PLC and Liberty Global PLC.

It also faces the threat of Amazon.com Inc., which late last year launched its video service globally and recently signed a deal to stream a package of NFL Thursday Night Football games. In the letter, Netflix said "that is not a strategy that we think is smart for us since we believe we can earn more viewing and satisfaction from spending that money on movies and TV shows."

On the call, Mr. Hastings argued that the human need to sleep—and not binge Netflix—is as formidable a competitor as Amazon or HBO. "Amazon can do great work" but "it'll be very hard for it to directly affect us," he said.

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